index or mutual fund you want. You will need to choose from a list provided by whoever handles your 401(k). That said, every retirement plan is going to offer you mutual and index funds that should suit your needs. As discussed in the chapter on investment, I recommend finding an index fund that tracks the S&P 500 with a low expense ratio.

You can make yourself poor by investing too much. You absolutely need to save for retirement, but you should not go broke in the process. Because there are steep penalties for taking your money out early, you should make sure you are not putting too much money into the 401(k). You need to keep enough on hand to cover all your expenses, fund your emergency account, and save for a home or other important things in your life.

If you weigh the pros and cons and understand that the purpose of a 401(k) is to fund your retirement, it's easy to see why it is such a lucrative option. Again, if your employer offers a 401(k), and especially if they offer a match, take advantage of it.

Traditional Versus Roth 401(k)s

There are two types of 401(k)s: traditional and Roth. Your employer may offer both, and you'll need to choose which one you prefer to participate in. For some people, not understanding the difference between these two options is what deters them from participating in a 401(k) at all. Don't be one of these people! Investing in either option is far better than not investing at all. The primary and most important difference between the two options is when you will be taxed. Aside from that, they function in the same way.

The **traditional 401(k)** functions as described above: money will be deducted from your paycheck and contributed to your